Coinbase Institutional

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Weekly Market Commentary

Dear Clients,

Market players have trimmed risk in recent days, ostensibly triggered by the US PPI surprise last week and risks of a hawkish tone from policy makers at the Jackson Hole Economic Symposium.

However, we think these factors were predominantly an excuse to take some gains off the table after the impressive rally from early July to August. Moreover, liquidity is currently being drained by the US Treasury rebuilding its Treasury General Account (TGA) balance. Since the start of August, the TGA balance has climbed by $185B to $560B as of August 19, and the Treasury could issue another $300B to meet its $850B target.

The odds of a Fed rate cut in September have fallen from 96% a week ago to around 70%, based on Fed funds futures. It seems many believe Fed Chair Jerome Powell (who speaks at Jackson Hole on August 22 at 10am ET) could articulate a nuanced and more data-dependent perspective on monetary policy, which downplays the slack in the labor market.

Despite the pullback in ETH prices, **funding rates on ETH perpetual futures have averaged 9% (annualized) over the last five days** while volumes continued to pull forward after the spike last week. Open interest on ETH and BTC perps have climbed to $27B and $35B respectively.

On the other hand, **both US-based spot BTC and ETH ETFs saw net outflows this week (August 18-20)** totaling $756M and $867M.

Circle’s new Gateway makes USDC effectively chain-agnostic, raising transfer velocity and collapsing cross-chain friction. **Gateway is an interoperability layer** that allows a single, non-custodial “Gateway Wallet” (smart contract) to hold a unified USDC balance.

Consolidating USDC into a single Gateway pool can help recapture yield and lower operational costs by pooling risks, shortening replenishment lead times, and reducing the need to rebalance. We think the dollar savings could be considerable for exchanges, providing a strong economic incentive for adoption. On the other hand, getting incumbents to flip from USDT could still be difficult.

Meanwhile, we just published our report New Framework for Stablecoin Growth, where **we estimate the stablecoin market**

cap could reach US$1.2T by the end of 2028. This is based on our stochastic method – which runs thousands of Monte Carlo-style simulations using auto-regressive modeling.

Finally, we will be taking a brief pause from publishing the Weekly Market Commentary next week, but **look forward to returning with fresh insights on September 5.**

Best,
The Coinbase Institutional Team

Weekly Market Call

View replays of our weekly crypto market analyses from our Americas, APAC and EMEA Coinbase Institutional teams.

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